

**From Pandemic to Paycheque: How COVID-19 Changed Canadian Gen Z's First Job Age,
Financial Literacy, and Investment Habits**

In January 2019, 2.43 million Canadians between the ages of 15 and 24 were employed. By July of that year, that number had climbed to 2.94 million — a seasonal surge of over 500,000 jobs, most of them first jobs. The labour market Gen Z was about to inherit was not spectacular, but it was tangible and growing, with youth employment up 4.4 per cent since 2015. Then COVID-19 arrived in March 2020, precisely when that annual spring climb was supposed to begin. For hundreds of thousands of young Canadians, the anticipated first paycheck simply never came.

The damage for Gen Z is quantifiable. Statistics Canada data shows that in 2021, approximately 173,700 fewer young Canadians aged 15 to 24 were employed compared to the 2019 baseline, which equates roughly to the population of a mid-sized Canadian city. The 20- to 24-year-old cohort, the prime first job window when financial habits, savings instincts, and investment awareness first take shape, sat drastically 7.7 per cent below pre-pandemic levels. Youth employment did not recover to 2019 numbers until 2023, a full three years after the pandemic began. The young Canadians who were 20 to 24 in 2020 and 2021 spent their entire early-career financial formation period in a depressed labour market. By the time the numbers recovered, those individuals were already 23 to 27. This generation did not get a delayed start, but rather a fundamentally different one from that of their parents.

However, the consequences extend beyond delayed employment. The Financial Consumer Agency of Canada's National Financial Literacy Strategy, published in August 2021, identified a concept that reframes the entire conversation: the cognitive tax of scarcity. Drawing on peer-reviewed neuroscience, the strategy explains that "scarcity of resources — for example,

money or time — imposes a cognitive tax on people," meaning the same individuals make measurably worse financial decisions when they have fewer resources. Gen Z who entered the workforce in precarious, part-time, or minimum-wage positions during COVID were not simply earning less. According to a federal government strategy grounded in published research, they were operating with reduced cognitive capacity for complex financial planning during the years when those decisions matter most in creating healthy financial habits. The FCAC is explicit that financial vulnerability "can affect anyone — regardless of income, background, or education" — a direct rebuke of the popular narrative that Gen Z's financial struggles reflect poor choices rather than difficult circumstances.

Further, Bank of Canada Governor Paul Beaudry, speaking in 2021, captured the structural trap Gen Z inherited: "We now find ourselves in a situation with high debt and high house prices but rather constant debt servicing ratios." By 2023, every vulnerability Beaudry named had been tested. The Bank's policy rate reached 5.0 per cent, its highest in over a decade. Inflation peaked at 8.1 per cent in June 2022. The RBC Housing Affordability Report found that a typical household needed to allocate 62.5 per cent of income to cover ownership costs, with the share of households who could afford to buy plummeting from 60 per cent in 2019 to 45 per cent in 2023. The Bank's 2023 Annual Report noted that "shelter price inflation remained high, mostly due to the rising costs of mortgage interest and rent," the most directly Gen Z-relevant line in the document. Deloitte's 2023 Gen Z and Millennial Survey confirmed the behavioural consequence: more than half of Gen Zers reported living paycheque to paycheque, with 46 per cent taking on additional jobs to make ends meet. The Deloitte 2019 pre-pandemic baseline makes the shift possible. In 2019, Gen Z was delaying large purchases and expressing financial caution but by 2023, caution had transformed into survival mode.

The financial literacy story, however, is more complicated than the hardship narrative alone suggests. A 2023 Leger Youth Study found that 43 per cent of Gen Z Canadians regularly inform themselves about different financial products, a 10-point increase from the prior year. These financial tips occurred from youth-dominated social media outlets like TikTok, Reddit, and Wealthsimple's own blog, where in 2021 the company was explaining to a generation of new investors that "markets aren't really a snapshot of the present — they're a picture of what people expect to happen in the future," and that robo-advisor portfolios "mix assets for long-term growth." Gen Z absorbed macroeconomics through the way Gen Z likes to best: through memes and plain-language explainers at the exact moment they need. The FCAC's strategy, somewhat inadvertently, validates this approach entirely: it identifies "just-in-time" learning, information delivered at the point of decision, as the most effective form of financial education. The source was indeed unconventional but the timing was optimal.

The investment behaviour that followed reflects both the anxiety and the adaptation. A 2021 BNN Bloomberg survey found that 48 per cent of Gen Z Canadians wanted greater control over their investments, more than any other generation. The FCAC framed the digital shift not as generational preference but as structural inevitability: COVID accelerated the move to digital finance, and the closure of physical branches meant digital platforms were often the only option available during the years these young Canadians were forming their earliest financial habits. By 2023, the behaviour had matured. A BNN Bloomberg report found that tens of thousands of First Home Savings Accounts had been opened since April, with the majority of RBC FHSA holders aged 25 to 34. Banks reported that demand "exceeded expectations." The same generation that opened Wealthsimple accounts during lockdown to trade meme stocks was, two years later, using tax-advantaged accounts to plan for home ownership.

The story of Gen Z and money is not a story about avocado toast, but rather a story about a generation that entered financial adulthood during documented scarcity, formed investment habits under cognitive strain, built financial literacy through whatever tools were available at the moment of decision, and is as of 2025, navigating an affordability crisis that shows little sign of resolving. Deloitte estimated in 2024 that Canada stands to lose \$18.5 billion in GDP over the next decade if youth unemployment remains elevated. The FCAC put it more simply: "Financial resilience does not lie in the hands of the consumer alone." Gen Z makes this theory concrete.

Sources

Statistics Canada Tables 14-10-0017-01 and 14-10-0327-01

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